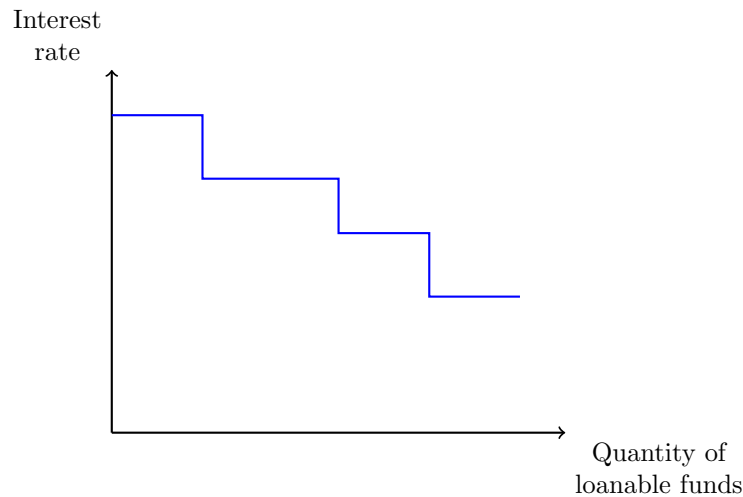


2. The financial analysts at Google have evaluated five major projects. Each project, if it actually goes forward, will be financed by going to a bank to borrow the money. They've calculated a "break-even interest rate": If they can borrow cash to pay for the project at less than that rate, the project will likely be a success; if the rate is higher, then it's not worth it.

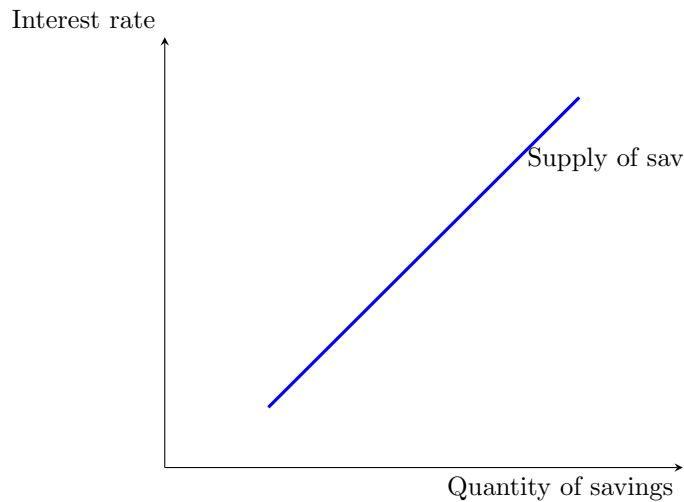
	Cost	Break-even Interest Rate
Project A	\$100 million	8%
Project B	\$50 million	12%
Project C	\$200 million	5%
Project D	\$25 million	4%
Project E	\$150 million	10%

- (a) If the interest rate is 11%, which projects will Google take on? If the market interest rate is 6%, which projects will it take on?
- (b) Let's turn this information into a demand curve for loanable funds.

Organize this data to convert it into Google's "loanable funds demand" curve.
Note: It will look just like an ordinary demand curve, only with more breaks.



3. Let's think about how the supply of savings might shift in two different cases.



- (a) Under current U.S. law, businesses are allowed to automatically enroll you in a savings plan that puts 5% of your salary in a retirement fund. Suppose Congress *abolishes* this law: Draw the appropriate shift in the supply curve and label it “a.”
 - (b) If Americans all go to see the classic Robin Williams/Ethan Hawke film *Dead Poets Society* and decide to *carpe diem*, or if they read the quotes of a famous Mediterranean preacher who said, “Take therefore no thought for the morrow,” or if they watch the appalling 1970s sitcom *One Day at a Time*, what direction is the supply of savings likely to shift? Denote this with a new supply curve labeled “b.”
- 3**
- a. If a zero-coupon bond with a face value of \$1,000 payable in 1 year sells for \$925, what is the interest rate?
 - b. If another bond with the same face value and maturity sells for \$900, what is the interest rate on this bond?
 - c. Which bond, the one discussed in question a or question b, would you rather invest in? Are you sure? Think again!